

SOX 404 Testing Findings: Manual Journal Entry Controls

Crestview BioHealth Corp. • November 12, 2024

MEMORANDUM: INTERNAL AUDIT COMPLIANCE & RISK ASSESSMENT

TO: Audit Committee and Senior Financial Leadership

FROM: Office of Internal Audit, Crestview BioHealth Corp.

DATE: November 12, 2024

SUBJECT: SOX 404 Testing Findings: Manual Journal Entry Controls & ERP Permissions

During our testing of internal controls over financial reporting (ICFR) for the fiscal year ending December 31, 2024, Internal Audit evaluated the design and operating effectiveness of key financial controls in the General Accounting and Accounts Payable sub-processes.

Finding 2024-03: Insufficient Segregation of Duties in Ledger Entry Workflow

Our sample testing of 75 manual journal entries posted between January 1 and September 30 identified 8 instances (10.7%) where manual ledger adjustments exceeding \$250,000 were drafted and approved by the same regional accounting controller in the SAP general ledger module. While supporting documentation was present and verified for business legitimacy in each instance, the dual-authorization rule mandated by Financial Control Policy 4.2 was bypassed due to conflicting role allocations in the newly configured automated approval matrix.

Risk Assessment:

Failure to enforce dual-authorization thresholds creates a control gap that increases the risk of undetected balance sheet misstatements, particularly within accrued liability reserves and prepayments.

Management Remediation Plan:

Corporate Finance will immediately revoke self-approval permissions for all controllers with transaction posting authority. System configuration changes will be finalized by December 1, 2024, followed by mandatory bi-weekly audit logging to confirm continuous segregation of duties across all operating subsidiaries.